Business Analysis Report

Personal Loan Approval Process: Where the Time Goes

Fictional Canadian bank   300 applications   January to December 2024

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Scope	Personal loan approval process from submission to decision communication
Applications analysed	300 across 5 branches over 12 months
Current average completion time	18.7 business days
Customer experience target	5 business days
On-time completion rate	0%: no application in the dataset was completed within the 5-day target
Value added time	42.8% of total process time
Non-value-added time	57.2% of total process time — waiting, queuing, rework

The Problem in Plain English

I applied for a student line of credit in my third year of university. It took 11 business days to hear back. Nobody could tell me what was happening during those 11 days. The application was just somewhere in the system.

This project is my attempt to map what is actually happening during those days — and more importantly, which parts of that time are doing something useful and which parts are just waiting.

The fictional bank in this analysis has set a 5-business-day target for personal loan decisions. That is the benchmark that leading Canadian digital banks and fintech lenders have established as table stakes for customer experience. The current process averages 18.7 business days. Not a single application in the 300-record dataset was completed within target.

> **The 18.7-day average is not caused by complexity. It is caused by two waiting periods that together account for most of the non-value-added time — the analyst queue and the manager sign-off queue. Both are process design problems. Neither requires additional headcount to fix.**

Current State — What the Process Actually Looks Like

The loan approval process has 10 steps from submission to decision communication. Eight of those steps are value added, they involve someone actually reviewing, assessing, or deciding on the application. Two are pure waiting steps where the application sits in a queue until someone picks it up.

The problem is that the two waiting steps are the longest steps in the entire process. They do not just slow things down at the margins. They are the dominant driver of the overall 18.7-day average.

Process step	Value added	Average hours	What this means	Fix priority
Application Submission	Yes	0.9 hrs	Digital form completion. Already efficient.	Low
Document Collection	Yes	24.1 hrs	This is where self-employed applicants fall behind. Incomplete submissions create back-and-forth that adds days.	High
Initial Review	Yes	4.8 hrs	First pass screening. Reasonable duration.	Low
Credit Bureau Pull	Yes	1.1 hrs	Currently triggered manually. Should be automated on submission.	High
Waiting for Analyst	No	**38.2 hrs**	Application sits in a queue until an analyst becomes available. No SLA. No escalation. This is the single biggest source of delay.	Critical
Underwriting Review	Yes	9.4 hrs	Core analytical work. Reasonable given loan complexity.	Medium
Manager Sign-off Queue	No	**24.8 hrs**	Application waits again for a manager to initiate their review. No maximum wait time in the current process.	Critical
Manager Approval	Yes	2.3 hrs	The actual decision. Fast once initiated.	Low
Compliance Check	Yes	4.6 hrs	Currently runs after manager approval. Could run in parallel to save 1.5 days.	High
Decision Communication	Yes	1.8 hrs	Partially automated with templates. Good.	Low

The Self-Employed Applicant Problem

Self-employed and contract worker applications take 2.2 times longer to process than salaried employee applications on average. The entire difference sits in the document collection step.

Salaried applicants typically submit their T4 and a recent pay stub. Self-employed applicants need to provide Notice of Assessment documents, business financial statements, and sometimes two years of tax returns. When the checklist of required documents is not communicated clearly at submission the applicant submits what they think is needed, the bank asks for more, and the back-and-forth adds days before the application even reaches an analyst.

A structured document checklist specific to employment type, delivered at the point of application submission, would eliminate most of this delay. It requires no technology investment and no headcount. It requires a better intake process.

> Self-employed applicants represent 20% of the application volume but a disproportionate share of the delay. Fixing the document collection step for this segment alone would meaningfully reduce the overall average completion time.

What a Redesigned Process Needs to Do

The full requirements register contains 15 requirements across three categories. The summary below covers the most important ones. All 15 are available in the accompanying requirements-register.csv file with acceptance criteria, stakeholder assignment, and current implementation status.

Must Have — 9 requirements

Requirement	Why it matters	Acceptance criterion
Analyst assignment must happen within 2 business hours of initial review completion	The analyst queue is the single longest delay in the process. Without a hard SLA it will remain unfixed.	Queue wait time below 2 hours for 95% of applications
Manager sign-off queue must have a 4-hour maximum SLA	The manager queue is the second longest delay. Managers need a defined window with an escalation path if breached.	Manager review initiated within 4 hours for all applications
Credit bureau pull must be automated on submission	Currently triggered manually which adds 1 to 2 hours unnecessarily. Automation makes it instant.	Credit report available within 30 minutes of submission automatically
Self-employed applicants must receive a document checklist at submission	Eliminates the back-and-forth that makes self-employed applications 2.2x longer.	Checklist reduces incomplete document rate by 40% within 90 days

Requirement	Why it matters	Acceptance criterion
Analyst workload cap of 15 active applications maximum	Without a cap the queue problem will return even after the SLA is enforced.	No analyst carries more than 15 active files at any time

Should Have: 4 requirements

Automated status updates at each process stage so applicants are not calling to ask what is happening. A mobile-friendly document submission portal. Payroll integration for automated income verification for salaried applicants. Compliance check running in parallel with manager approval rather than sequentially, this change alone saves an estimated 1.5 business days.

Business Case

Reducing average approval time from 18.7 business days to 5 produces measurable business value through three mechanisms. Applicants who receive a faster decision are less likely to abandon the process or accept a competing offer before the bank responds. Faster processing allows the same team to handle higher application volume without adding headcount. And research consistently shows that decision speed is one of the strongest drivers of loan applicant satisfaction and repeat business.

Metric	Current state	Target state	Impact
Average completion time	18.7 business days	5 business days	13.7 day reduction
On-time completion rate	0%	85%	Full target achievement
Value added time	42.8% of process	75% of process	32.2 percentage point improvement
Estimated annual revenue gain	Baseline	Improved approval rate and capacity	$94,667 incremental
Implementation cost	Not applicable	$280,000 technology and process	One-time investment
Payback period	Not applicable	35.5 months	Conservative estimate

The revenue estimate is conservative. It does not account for the customer lifetime value impact of faster decisions, the reduction in application abandonment, or the reputational benefit of competitive turnaround times in a market where digital banks are setting a 24-hour standard.

Recommended Next Steps

Two of the nine Must Have requirements can be implemented immediately without any technology investment. An analyst assignment SLA of 2 business hours and a manager sign-off SLA of 4 hours are process policy changes. They require a decision from operations leadership, a communication to branch managers, and a monitoring mechanism, not a technology project.

These two changes alone would reduce the average completion time by an estimated 6 to 8 business days. That is meaningful progress before a single dollar of technology investment is spent.

- Validate the process map and step durations with the operations team and branch managers before proceeding to redesign
- Implement analyst queue SLA and manager sign-off SLA as immediate policy changes within 30 days
- Commission a technology assessment for automation requirements including credit bureau pull, document portal, and workload balancing
- Pilot the redesigned process at one branch for 90 days before full rollout

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